NIGERIA'S AGRICULTURE BUDGET VS. PERFORMANCE 2015 - 2024

A Data Review of Spending, Growth and Food Inflation.

Analysis by Jesubori Aro

EXECUTIVE SUMMARY:

BUDGET SURGE

Nominal Budget: 40.7bn → 996.9bn

Total Increase: +2,300%

CAPITAL SHIFT

Allocation to Capital Projects:

21.6% → 88.9%

GROWTH STAGNATION

Agricultural GDP Growth

4.1%(2016) → 1.1%(2023)

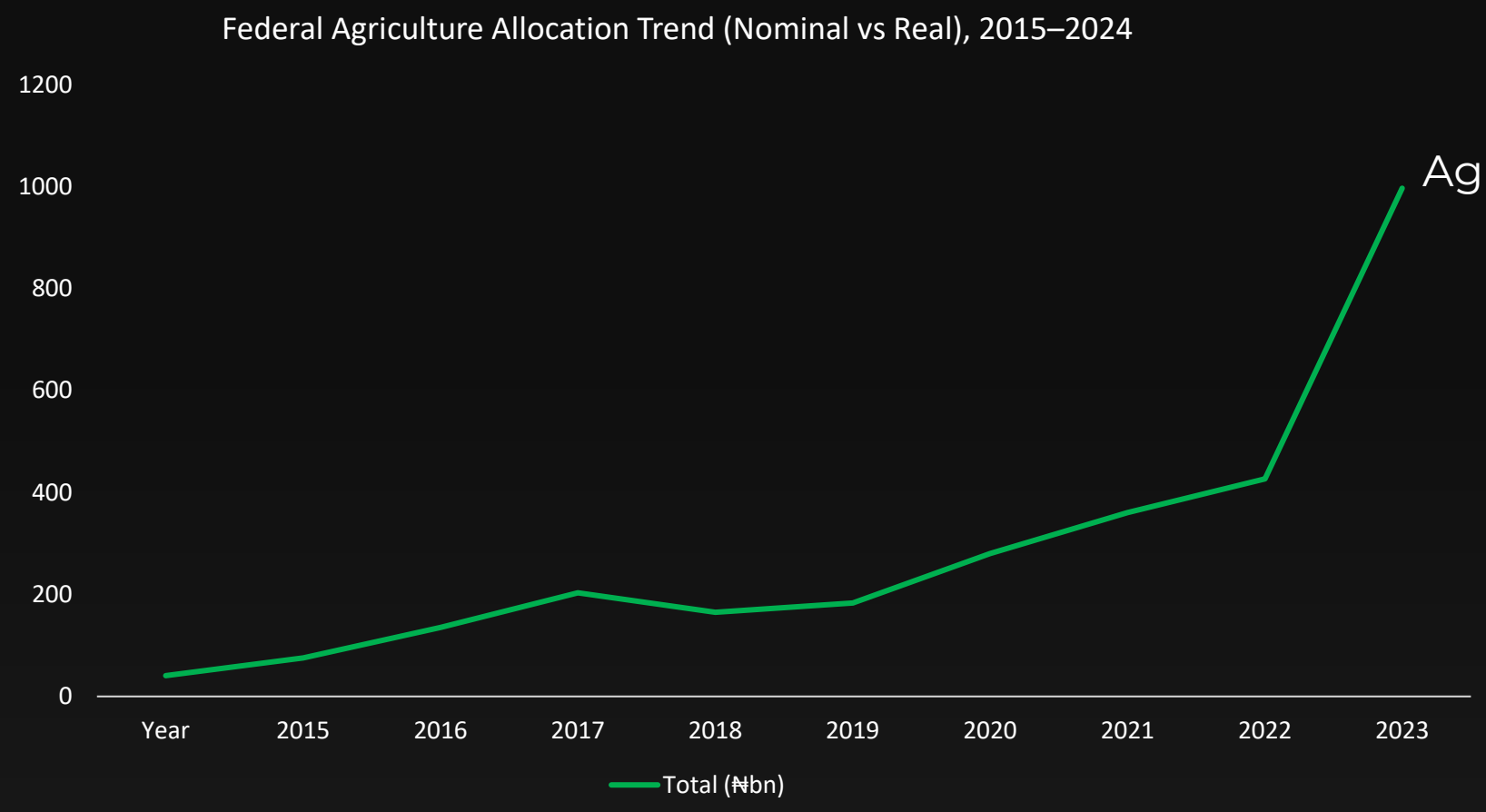
INFLATION CRISIS

Food Inflation Rate:

9.9% → 39.1%

Higher Spending coincided with modest growth and rising food inflation

Nominal Budget Allocation Surged by over 2300%



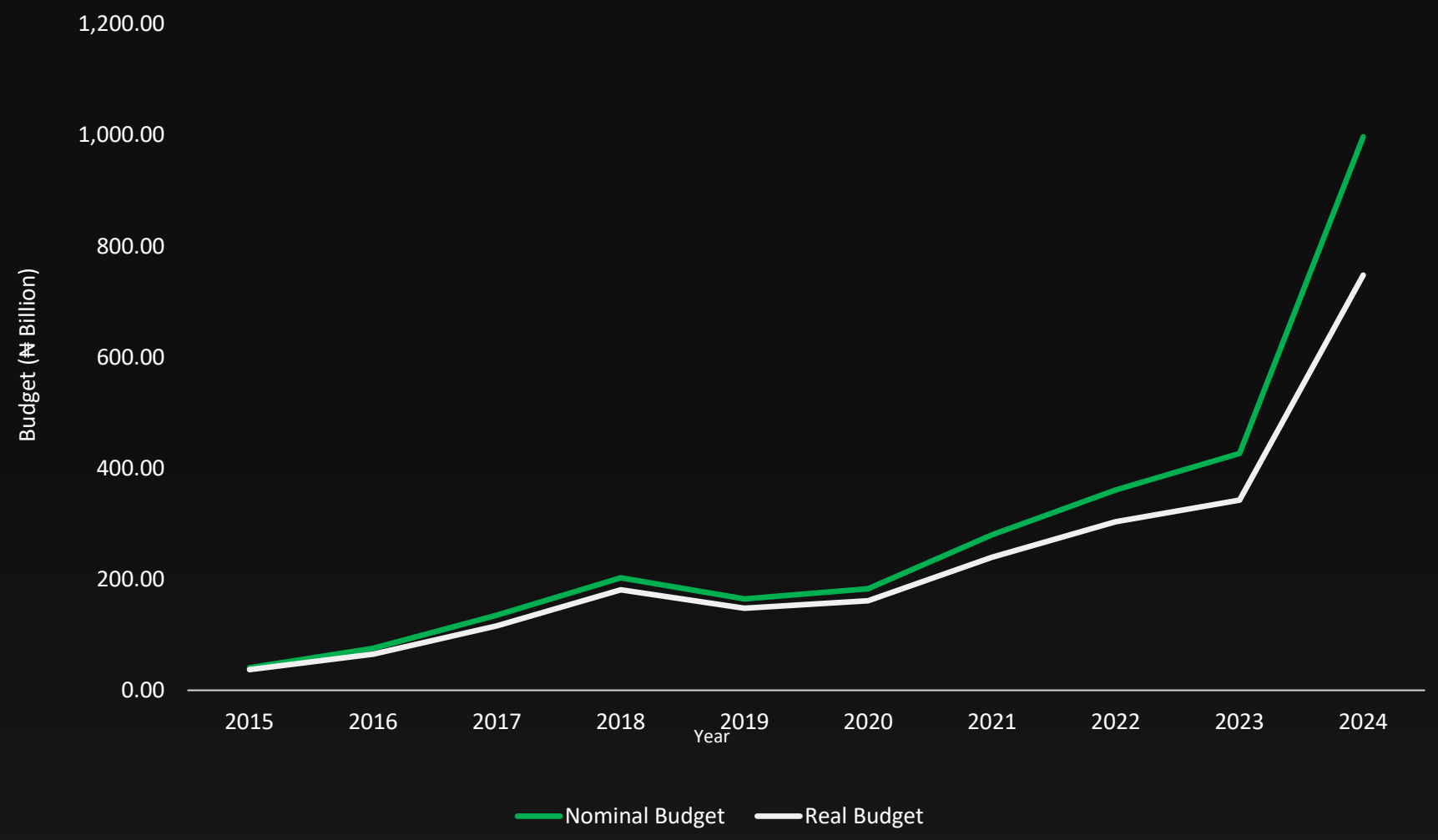
Key Insight

Agriculture Allocation Rose From:
₦40.7bn (2015)
To
₦996.9bn (2024)

Total Increase:
2,300%

Nominal increase suggest stronger fiscal commitment to agriculture

Real vs Nominal Agricultural Budget (2015 – 2024)



Key Insight

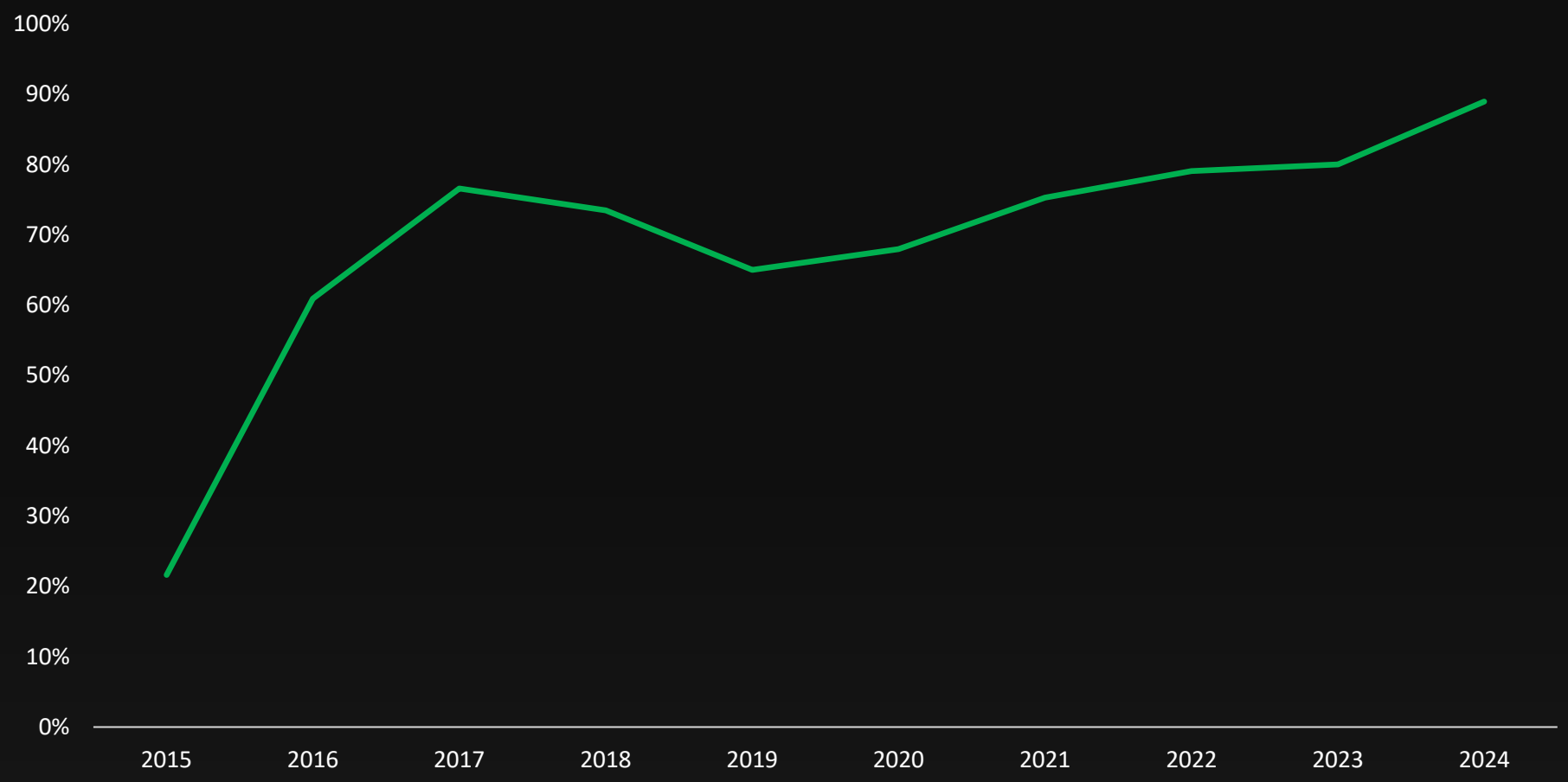
Budget increased from
₦40.7bn → ₦996.9bn

Real Budget increased from
₦37.3bn → ₦748.2bn

Inflation impact ~25%.

Budget increase were significantly reduced after adjusting for inflation

Capital Allocation Increased Significantly



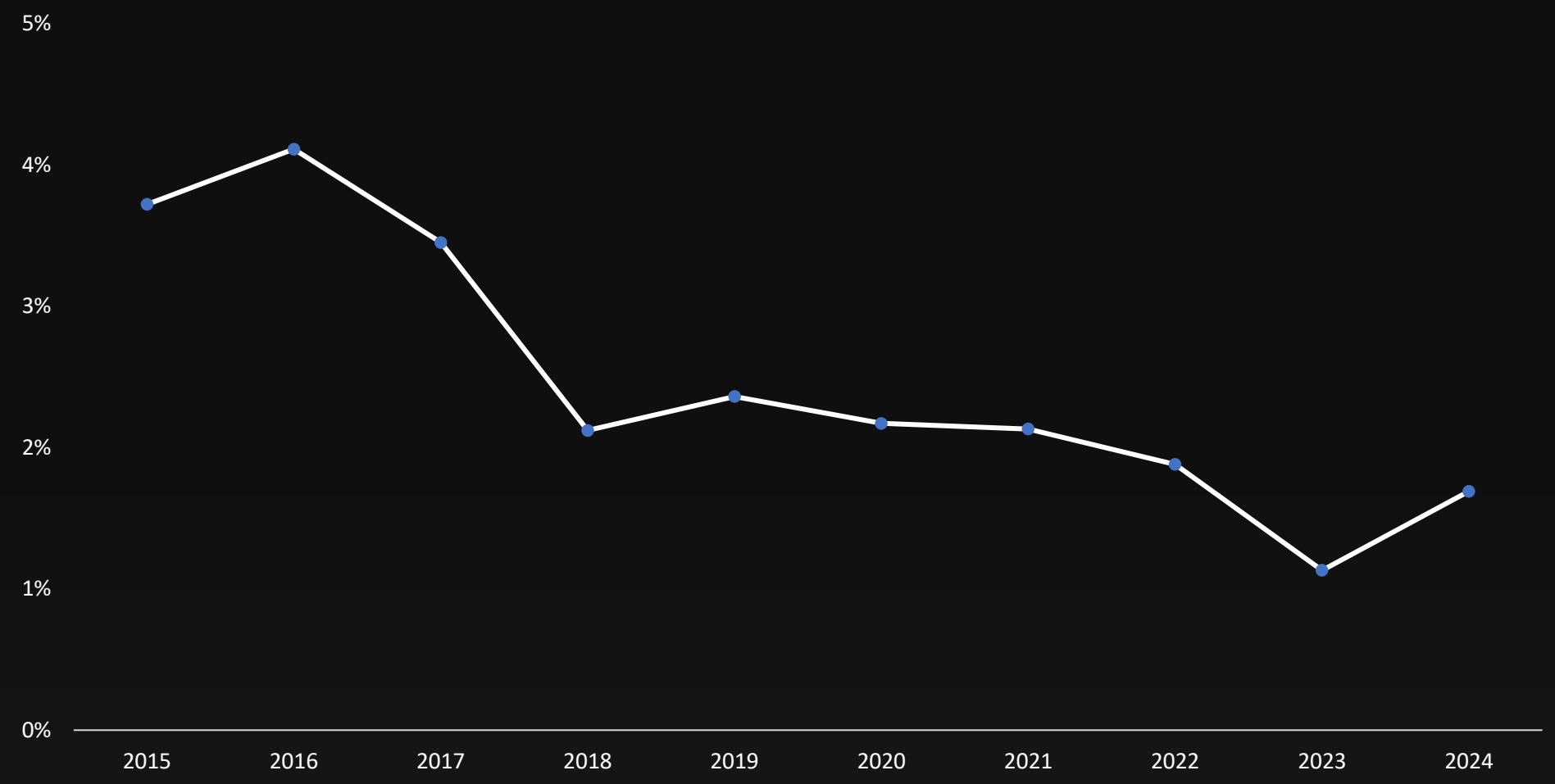
key Insight

21.6% → 88.9%

Above 75% since 2021
Increase: +67pp

higher capital allocation did not correspond with stronger agricultural growth

Agricultural Growth Did Not Keep Pace With Spending



Key Insight

Peak:
4.1% (2016)

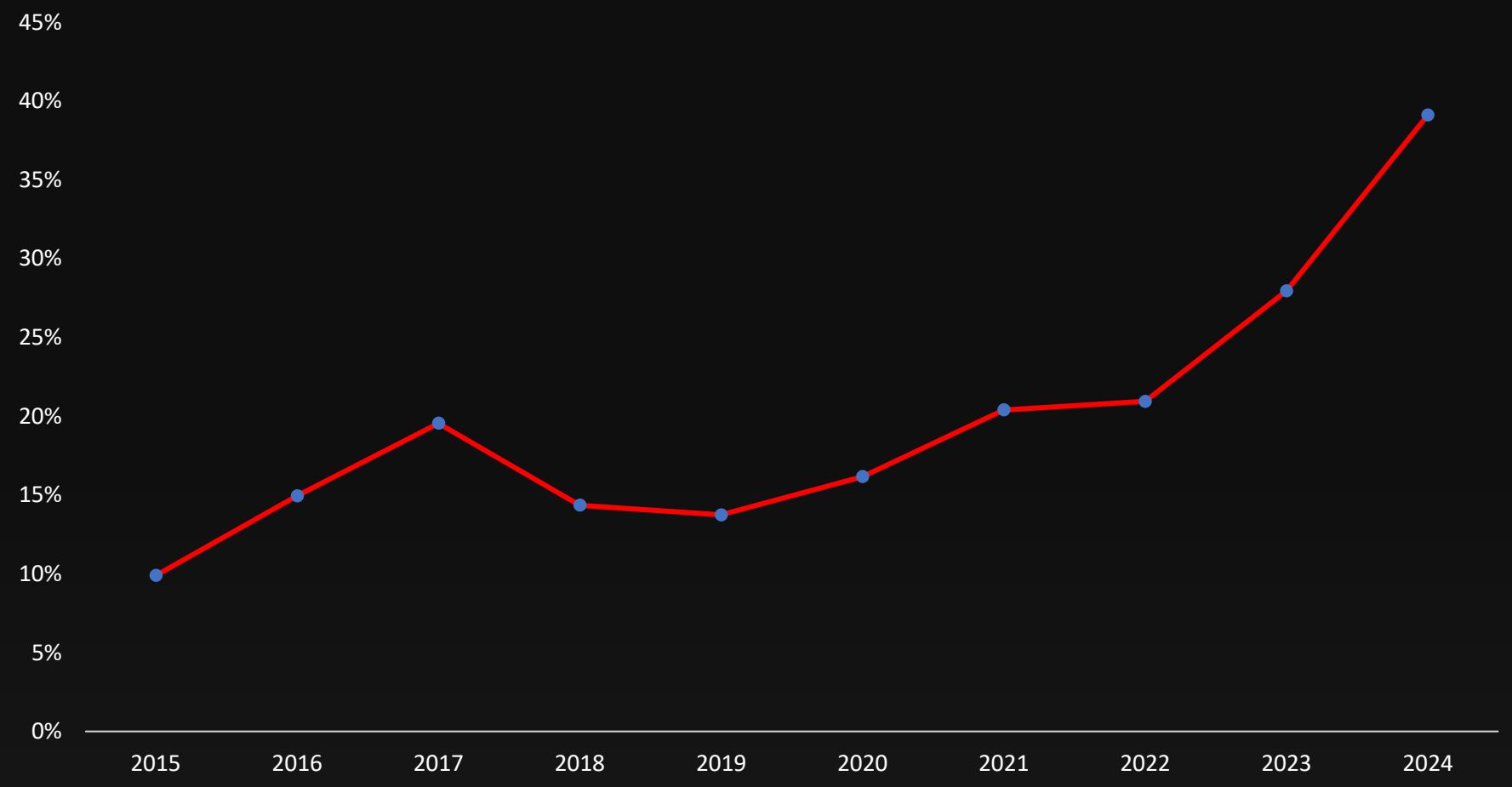
Low:
1.1% (2023)

Average:
2.5%

Below 3%:
7 of 10 years

Agricultural growth remained modest despite rising budget allocations

Food Inflation Increased Sharply (2015–2024)



Key Insight

9.99% → 39.1%

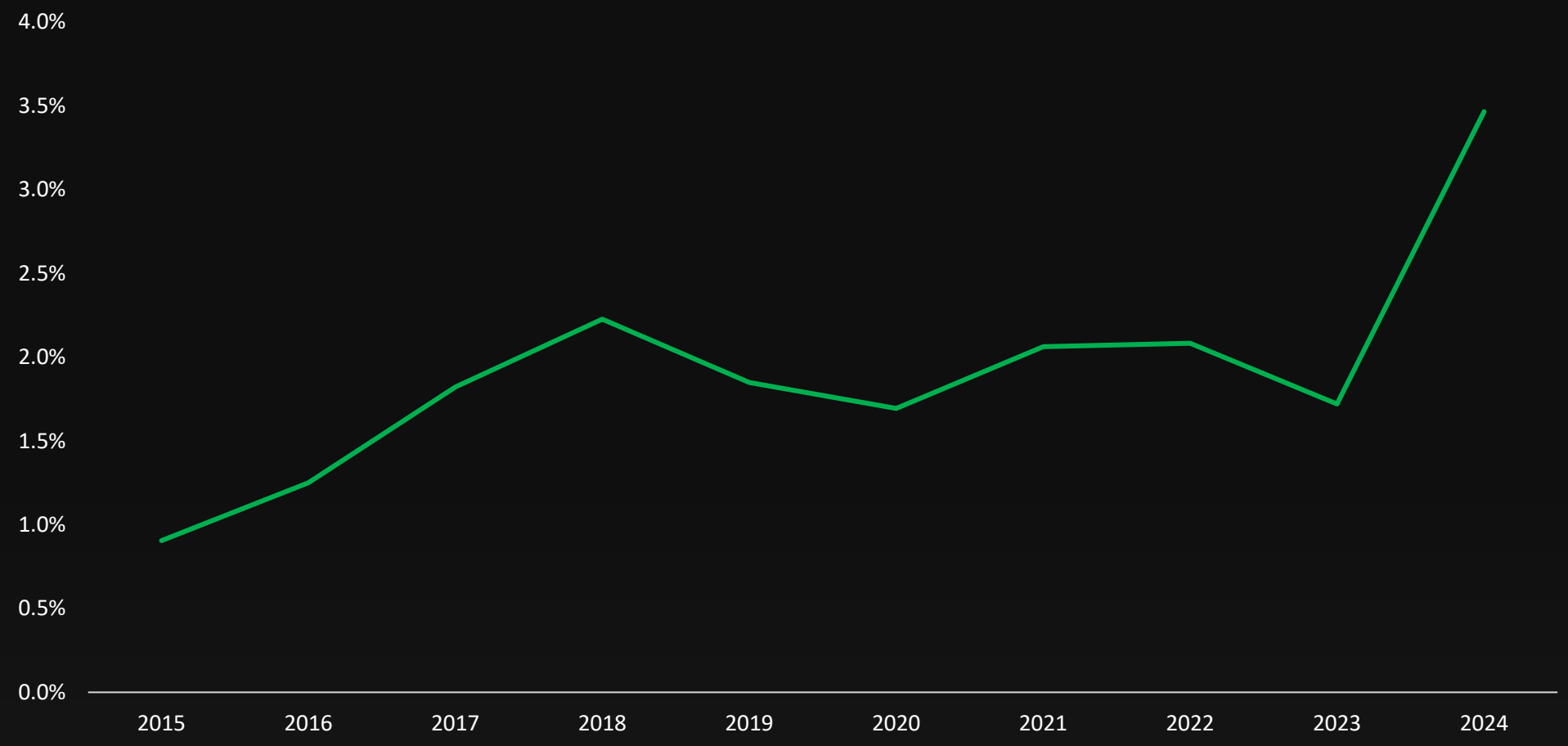
Increase:
295%

After 2020:
16.2% → 39.1%

Peak:
39.1% 2024

Food prices rose sharply despite increasing agricultural spending.

Agriculture Share of Federal Budget Increased



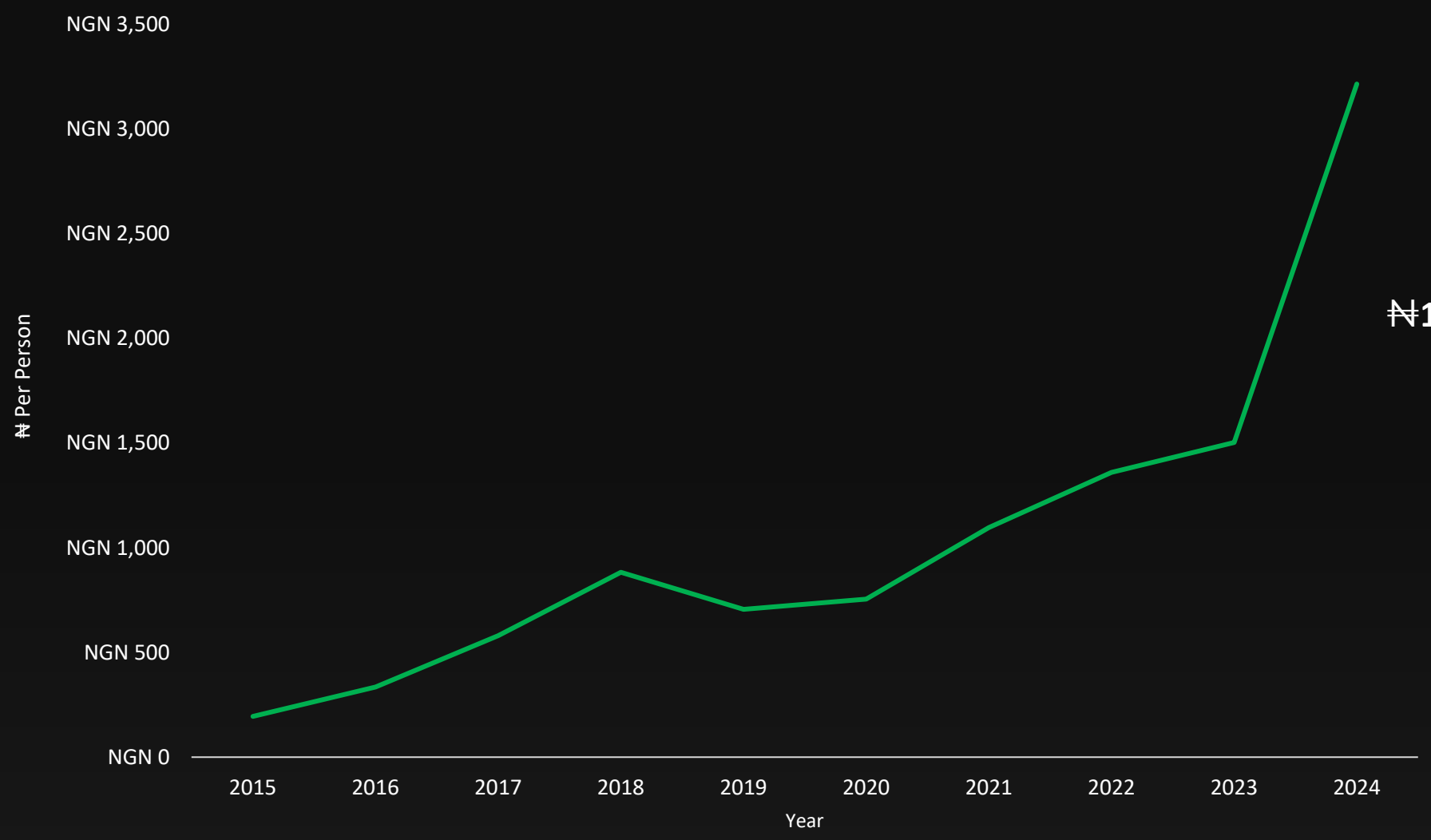
Key Insight

0.9% → 3.46%

Peak:
3.46% (2024)

Agriculture remained a small share of total federal spending.

Real Per Capita Agricultural Allocation Increased



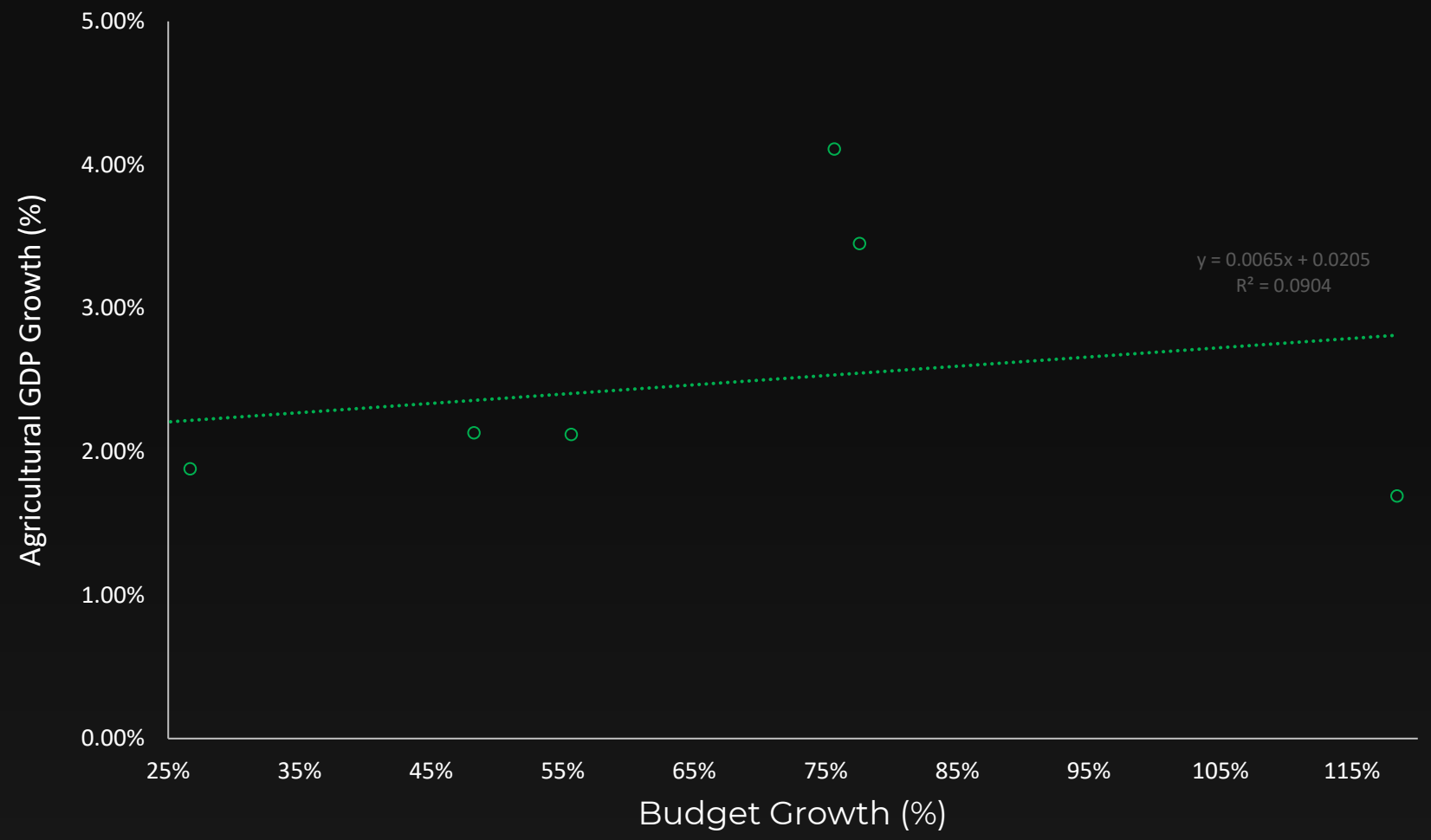
Key Insight

Increased:
₦196 (2015) → ₦3215 (2024)

Increase:
≈ 16×

Per capita spending increased substantially over the period.

Does Budget Growth Translate into Agricultural Growth?



Key Insight

Correlation:
0.30

R^2::
0.09

Interpretation:
Weak Relationship

Budget increases alone did not strongly predict agricultural growth.

Key Findings

- **Between 2015 and 2024:**
- Agriculture budget increased from **₦40.7bn → ₦996.9bn (≈23× increase)**
- Capital allocation rose from **21.6% → 88.9%**
- Real per capita allocation increased from **₦196 → ₦3,216 (≈16× increase)**
- Agricultural GDP growth declined from **4.1% → 1.7%**
- Food inflation increased from **9.9% to 39.1%**

Higher spending coincided with modest growth and rising food inflation over the period